

ORDER BOOK OF INDIAN AIRLINES



INDIAN CARRIERS' ORDER BOOK IS MORE THAN 2X THE SIZE OF THE CURRENT FLEET



INDIAN AIRLINES ARE EXPECTED TO HAVE A REGISTERED FLEET OF OVER 800 AIRCRAFT BY END OF FY25, BUT 120 ARE EXPECTED TO BE GROUNDED DUE TO SUPPLY CHAIN AND OTHER ISSUES

CURRENT FLEET AND ORDER BOOK OF INDIAN AIRLINES

Airline	Current fleet	Aircraft on order	Estimated grounded aircraft by March 2025	Projections for March 2025
IndiGo	395	950	70+	410
Air India	300-304	570	30	315-319
Akasa Air	25	201	0	25-26
SpiceJet	56	129	20+	56
Total	776-780	1,765	120+	806-811

SOURCE CENTRE FOR AVIATION

ing firm CRISIL Market Intelligence & Analytics, tells *Business Today*.

100 | “With the latest technology, fuel efficiency, and comfort features, the new aircraft will modernise the Indian aviation industry, reducing operating costs and emissions while enhancing the passenger experience,” says Sharma.

Massive fleet orders from Air India, IndiGo, and Akasa Air will drive significant capacity expansion and modernisation in the Indian skies. SpiceJet’s recapitalisation in 2024 has paved the way for a strong carrier to emerge, provided it continues to receive investments.

IndiGo, with the largest market share of over 61%, has placed a mega order of 950 aircraft, including A350-900 wide-body ones to support its evolving business model, featuring a new business class and frequent-flyer programme. The wide-body aircraft will enable IndiGo to expand its international presence.

Air India, too, has placed a top-up order of 100 Airbus planes, along with the existing 470. Akasa and SpiceJet are also slowly increasing their fleet.

However, enthusiasm is more tempered in the industry. Jitender Bhargava, former executive director of Air India, says industry insiders have questioned the huge order book. “Delivery is over a staggered period like the next 8-10 years. A lot of existing aircraft will have to be phased out once they complete 15 years. Certain leased aircraft inducted to meet market growth will be replaced with new ones,” Bhargava tells *BT*.

COMPETITIVE AIRFARE

As airlines strive to maintain passenger load factors, airfares are expected to remain competitive in 2025. In a price-sensitive market like India, airfares have not seen massive growth, except the post-Covid surge when air travel resumed, compared to air passenger growth of over 60% since 2015.

The Ministry of Civil Aviation recently said airfares have moderated in 2024 compared to 2023 as there was a notable decline in ticket prices in various routes during festival seasons on account of growth in seat capacity and moderated demand, compared to post-Covid levels.

Bhargava says, unfortunately, no sector gets scrutinised on the basis of cost as much as the airline industry. “Air India and IndiGo both have a huge order of aircraft and if you [companies] kill the growth by charging exorbitant fares, then how will you fill up the aircraft post-induction. It is in the industry’s interests to keep the market growth sustainable and affordable,” he says.

However, he argues that the airline industry is capital intensive with interests being paid on capital, aircraft lease rentals, and pilot and aircraft maintenance cost is going up along with high fuel prices and taxes.

“Some state governments have a sales tax of 20-25% on ATF, or aviation turbine fuel. Look at the airline costing as well—how many airlines have shut down in 15-20 years. [You know] there has to be something fundamentally wrong when two professionally managed airlines,

